THURSDAY, JUNE 25, 2026

The Indian EXPRESS

NEW DELHI, LATE CITY, 18 PAGES

JOURNALISM *of* COURAGE

₹7.00 (₹8 RAIPUR, ₹15 SRINAGAR) • www.indianexpress.com

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EXPECT TIES TO MOVE TO A HIGHER LEVEL: GREER AT END OF TWO DAYS OF NEGOTIATIONS

Market access to non-tariff barriers: India, US review trade core elements

Commerce Ministry: Both committed to balanced, commercially meaningful pact

Ravi Dutta Mishra
New Delhi, June 24

INDIA AND the US Wednesday wrapped up two days of negotiations over a bilateral trade deal and Delhi said there had been "a comprehensive review" of core elements including "enhanced market access, digital trade, supply chain resilience, reduction of non-tariff barriers, and expanded cooperation in strategic sectors".

The US trade delegation was led by United States Trade Representative (USTR) Jamieson Greer. The negotiations took place a month before Washington is expected to come out with a new tariffs architecture under Section 301 of the US Trade Act to replace reciprocal tariffs deemed illegal by the US Supreme Court in February this year.

An industry source said

»CONTINUED ON PAGE 2

Union Finance Minister Nirmala Sitharaman with United States Trade Representative Jamieson Greer in New Delhi. @FINMININDIA

E. EXPLAINED

What's taking time

Bilateral trade deal negotiations have been slow due to differences over high tariffs, agricultural market access, e-commerce regulations and India's pushback against US pressure on its energy and defence ties with Russia. The two sides are trying to secure a working deal before next month's US tariff deadline.

The Second Page

HC lets POCSO victim to end 29-week pregnancy, orders audit on care and counselling of minors

Mustafa Plumber
Bengaluru, June 24

THE KARNATAKA High Court has allowed a minor girl — a sexual assault victim — to terminate her 29-week-old pregnancy and directed the state government to conduct an audit on whether minor victims of sexual assault are being provided immediate care, protection, counselling, rehabilitation, and access to statutory entitlements.

"Director, Department of Women and Child Development, shall undertake a statewide compliance audit regarding the implementation of the directions issued by the court earlier to ensure timely intervention in cases involving minor victims of sexual assault resulting in pregnancy," Justice Suraj Govindaraj said in a June 8 order. The audit will examine whether mechanisms have been evolved in each district and the extent of compliance by the police department, child welfare committees, district child protection units and other stakeholder departments.

On October 15, 2025, the court issued a technology-oriented SOP, including a digital portal, to assist victims in cases registered under the POCSO Act until another SOP is framed. The case involved the repeated sexual assault of a 15-year-old girl staying in Chitradurga district for educational purposes. An FIR was filed on April 16. However, the SHO allegedly did not inform the district child protection unit, the child welfare panel, the Women and Child Development Department or other authorities as required.

The court noted that even the district child welfare officer, who was aware of the incident, reportedly did not take steps to place the matter before the child welfare panel. "Had authorities acted with the promptitude expected of them, the issue of medical termination of pregnancy could have been examined at a substantially earlier stage of gestation and the minor and her family would have been spared considerable uncertainty, distress and hardships," the court said. "The conduct of the concerned officers, if established, would amount not merely to a failure to comply with the directions issued by this court, but also a failure to discharge the statutory and institutional responsibilities cast upon them for the protection of child victims of sexual offences."

The bench also emphasised that the purpose of child protection framework under the law is to ensure that a minor receives immediate support, guidance and access to medical, legal and rehabilitative measures. The court directed that a medical board be formed at Vani Vilas Hospital to examine and assess the minor.

The opinion of the board was that termination of pregnancy, at 29 weeks and six days, can be undertaken.

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India, US review trade

a 7-member US legislative delegation, simultaneously visiting Maharashtra, has begun exploring tech export opportunities in India. The source said that India and the US have, in principle, agreed to the deal and expect the agreement to be signed in the next 15 days.

The Ministry of Commerce and Industry said "the two sides expressed confidence that ongoing negotiations will further deepen economic ties" and strengthen the India-US Comprehensive Global Strategic Partnership.

"Ambassador Greer held multiple rounds of discussions with the Union Minister of Commerce and Industry, Piyush Goyal. The two leaders conducted a comprehensive review of core bilateral trade agreement (BTA) elements, including enhanced market access, digital trade, supply chain resilience, reduction of non-tariff barriers, and expanded cooperation in strategic sectors," the Ministry said.

Discussions focused on pathways to conclude an interim agreement as an important milestone toward a comprehensive BTA, and both sides reaffirmed their commitment to an agreement that is balanced and commercially meaningful, the Ministry said.

The US delegation, led by Greer, also met Union Finance Minister Nirmala Sitharaman.

The Ministry of Finance, in a social media post, said both sides exchanged views on strengthening bilateral trade and economic cooperation, with a focus on new opportunities for growth and deeper commercial engagement.

Meanwhile, the USTR said that India has a long history of agriculture and manufacturing, and they are moving forward in technology.

"They want to move forward in AI. They want to cooperate and collaborate with the United States on the technologies of the future and trade of the future. And that's some of the exciting opportunities that we'll have between the United States and India," he said.

Greer said President Donald Trump and Prime Minister Narendra Modi have an "amazing" relationship that they have nurtured over many years.

"Just last week, they met at the G7 in Evian, France, and I was there, and they agreed to take the relationship to the next level. This includes the trade deal that we're working on, but it includes every aspect of the relationship, and we expect the relationship to continue developing and only going to a higher and higher level with every passing week," he said.

Meanwhile, Ajay Srivastava, former trade officer and founder of think tank GTRI, cautioned against "a one-way market-access agreement rather than a balanced trade pact".

"Even a signed agreement would offer no protection against future US trade actions, as Washington has repeatedly launched Section 301 investigations and imposed trade restrictions on countries with which it already has trade agreements. In these circumstances, India realises that delaying, or even abandoning, a rushed BTA may be the more prudent course than locking India into obligations whose costs could far exceed any temporary tariff relief offered by Washington," Srivastava said.

On June 18, the US launched an investigation under Section 301 against Germany, months after signing a trade deal. The US trade investigation said that evidence indicated that Germany was implementing unfair pricing policies and practices about innovative pharmaceutical products.

"Evidence further suggests that reduced revenue associated with these acts, policies, and practices contributes to, among other things, reduced investment for R&D that supports the development of innovative pharmaceuticals. As a result, the United States pays a disproportionate share of global R&D costs for innovative pharmaceuticals," a USTR report said.

The US had also launched a separate Section 301 investigation on Vietnam last month, saying Vietnam had demonstrated a persistent failure to resolve long-standing concerns about IP protection and enforcement. Vietnam was among the first countries to sign an agreement with the US. — WITH PTI

AFTER 15 KILLED IN LUCKNOW FIRE

Crackdown on coaching centres: Inspections, sealing in Delhi-NCR

Drishti Jain
Noida, June 24

AFTER A fire at a three-storey building housing a coaching centre in Aliganj in Uttar Pradesh's Lucknow killed 15 people on Monday, Delhi has ordered a citywide inspection, while coaching institutes in Gautam Buddha Nagar and Ghaziabad faced actions — with some sealed, some inspected and several served notices — over compliance of fire safety and other norms.

While ordering an inspection drive of coaching centres across the city, Delhi Education Minister Ashish Sood directed agencies to check if major student hubs are complying with fire-safety and building norms. During a high-level meeting, Sood asked the Delhi Development Authority, the Municipal Corporation of Delhi, the Delhi Fire Services (DFS) and the Delhi Disaster Management Authority to conduct inspections in areas like Mukherjee Nagar, Rajender Nagar and Katwaria Sarai.

The MCD has been directed to share a list of 923 coaching centres surveyed across Delhi and submit a daily action-taken report to the Minister's office.

Sood said institutes found violating safety standards or other regulations would face strict action. He also directed the DFS and Delhi Police to act against errant operators. "The safety and welfare of students is our top priority. Any negligence affecting student safety will not be tolerated," he said.

At the meeting, regulatory gaps, students' welfare and alleged unfair commercial practices by coaching institutes were also discussed, officials said.

The Directorate of Higher Education is preparing a regulatory framework for coaching centres in Delhi that the government said would address systemic gaps, strengthen accountability and create a transparent mechanism for the sector. The draft framework will be submitted to the government shortly, officials said.

At the site of fire in Lucknow. FILE

Meanwhile, nine coaching institutes in Gautam Buddha Nagar were sealed and notices were issued to twelve others. In Ghaziabad, out of a total of 56 establishments where the police conducted inspections, 12 were found to be flouting norms, while two coaching institutions in Modinagar were sealed.

Officials said that a total of 66 institutions were inspected so far in Gautam Buddha Nagar as part of the drive which began on Tuesday.

On Wednesday, the District Inspector of Schools said a total of 46 coaching centres were inspected while five in Greater Noida were sealed with immediate effect due to the non-availability of required documents and non-compliance with prescribed standards.

Meanwhile, in Noida Sectors 16 and 18, as many as 12 coaching institutes were inspected, of which two were sealed. In Sector 22, four were inspected, and two were served notices and directed to halt operations. Additionally, six institutes were inspected in Noida Sectors 58 and 62.

Hotels and guest houses were also inspected in Jewar. While one of them was sealed, three others received notices.

In Ghaziabad, the District Magistrate Wednesday chaired a meeting, reviewing fire safety arrangements in residential societies and high-rise buildings across the district, directing the RWAs to maintain effective storage of combustible materials in basements, parking areas, and common-use spaces.

Delhi-NCR has reported multiple cases of fire this year that claimed several lives.

WITH INPUTS FROM ENS

• DIPLOMACY

After Op Sindoor freeze, a thaw in India-Turkey ties

Divya A
New Delhi, June 24

INDIA AND Turkey's bilateral ties have often been overshadowed by one external factor: Pakistan. Last year, the relationship hit rock-bottom when following the Pahalgam terrorist attack in April, Turkey was Islamabad's only ally in West Asia to explicitly condemn Operation Sindoor, India's military response in May 2025. It was no surprise that ties went into cold storage for much of 2025.

This year, however, both countries are showing signs of a rapprochement. In April, foreign office consultations resumed after being kept in abeyance for four years. The same month, the two sides also cooperated on the security front, with New Delhi extraditing fugitive narcotics trafficker Salim Dola from Turkey — with more to come.

Strategic mistrust

After Recep Tayyip Erdogan came to power in Turkey in 2002, bilateral relations saw frequent high-level visits, exchange of business and cultural delegations, and people-to-people interactions. Bilateral trade grew from $700 million in 2002 to $13.82 billion in 2022. Bilateral ties began to plummet, however, after Erdogan criticised the 2019 revocation of Article 370 at the UN. The years until late 2025 saw a massive diplomatic rift driven by the Kashmir issue and Ankara's supply of military hardware to Pakistan, which heightened mistrust in New Delhi.

Post-Sindoor fallout

The friction, however, reached its peak during Operation Sindoor, which Turkey labelled as "unprovoked aggression" killing "innocent civilians". Reports of Pakistan utilising Turkish-supplied drones during the four-day conflict prompted severe diplomatic and economic backlash in India. Meanwhile, New Delhi moved to deepen its engagement with Cyprus, the Mediterranean island nation which both Turkey and Greece claim. Prime Minister Narendra Modi's first international visit following Sindoor was to Cyprus's capital, Nicosia.

STRATEGIC GATEWAY

- A working relationship with Turkey offers India geopolitical leverage in the Islamic world, a gateway to European and Central Asian markets, and trade and infrastructure partnerships.
- Ankara imports $6 billion in goods, mostly raw materials and intermediate products including textiles, chemicals, and auto and machinery components.

Air India cancelled its multibillion dollar aircraft maintenance contract with a Turkish firm, while major Indian universities suspended memorandums of understanding with Turkish institutions. Bilateral merchandise trade shrank, and Indian tourist arrivals in Turkey dropped by nearly 37%. India also revoked the security clearance of a Turkish company that handled operations at nine airports.

The thaw

In April, India invited Turkey for the 12th round of bilateral consultations. This came four years after foreign office consultations were held in Turkey. "We believe dialogue is better than not talking and deepening disagreements and misunderstandings. The conversations have been satisfactory," India's Ambassador to Turkey Muktesh Pardeshi told *The Indian Express*. Ankara has also shown willingness to cooperate on law enforcement, as in Dola's extradition.

A win-win for both

Those in the know said that after the backlash, Turkey began to insulate its economic interests in Asia from its Pakistan alliance. Turkey stands to gain substantially with India — a bilateral trade exceeding $10 billion annually, potential infrastructure expertise and a strategic hedge in its foreign policy. India is a major market for Turkish exports such as marble, machinery and agri products, while Turkey benefits from Indian machinery, auto components and chemicals, besides tourism and capital.

Sources said Turkey also cleared the air on military support to Pakistan, maintaining that it did not send any additional assistance, but as part of the long-standing defence ties between the two countries.

A senior diplomat told *The Indian Express*: "If we accept that Turkey has brotherly relations with Pakistan and that perhaps can't be changed, we can still see merit in having our own friendly relations with them." Indian interlocutors said if Turkey adopts a more nuanced position on the Kashmir issue, it could help solidify relations.

• CLIMATE

In dry monsoon, a test of resilience

This season's rainfall is predicted to be the lowest in a decade. But India may be better prepared to absorb the stress this time

AMITABH SINHA

AFTER REMAINING largely inactive for more than a week, the monsoon finally picked some strength and momentum beginning Monday. Maharashtra, for instance, received its first good rainfall of the season on Tuesday. But the monsoon's behaviour so far in June has raised concerns that the season might be even drier than predicted.

June was supposed to be among the relatively better rainfall months. The India Meteorological Department (IMD) forecast that while rainfall over India during the entire monsoon season was likely to be 90% of the long-period average, June was expected to get at least 92% of its normal rain.

This was because it was expected to be least affected by the El Niño phenomenon in the equatorial Pacific Ocean, which has a tendency to suppress rainfall over the Indian region. But with barely a week remaining, the June rainfall deficit is more than 40% and appears unlikely to be bridged.

An IMD bulletin on Wednesday forecast low to moderate rainfall activity in the areas covered by the monsoon — which is only around half of the country's landmass. Around this time in June, the monsoon normally covers almost the entire country.

Not El Niño yet

Though the El Niño phase of the equatorial Pacific Ocean, off the northwestern coast of South America, has been declared to have emerged, this has not been the reason for the large rainfall deficit in June so far. This is because the effects of El Niño, or the opposite La Niña phase, on the Indian monsoon comes with a lag. It usually takes more than a month for the complete effects of El Niño to become evident over the Indian region.

IMD director general Mrutyunjay Mohapatra said the El Niño phenomenon had a very small role to play in the monsoon performance in June. "El Niño emerged around the first week of June. We are now beginning to see its impact on the monsoon. It is not that there is no impact. But it is not the main reason for the rainfall deficit in June," Mohapatra said.

He identified other reasons — low pressure systems of inadequate strength; weak monsoon currents; and the unfavourable phase of a moving wind and cloud system called Madden Julian Oscillation, or MJO.

Like El Niño, MJO is an ocean-atmosphere interaction that influences weather events across the world, though only over a short term. But while the El Niño phenomenon plays out in the Pacific Ocean, MJO is a moving system of winds and clouds. The system engulfs the entire equatorial region like a ring but moves in an eastward direction. It helps bring rain in some regions but suppresses it in others. As it keeps moving, the areas where it brings rainfall keep changing.

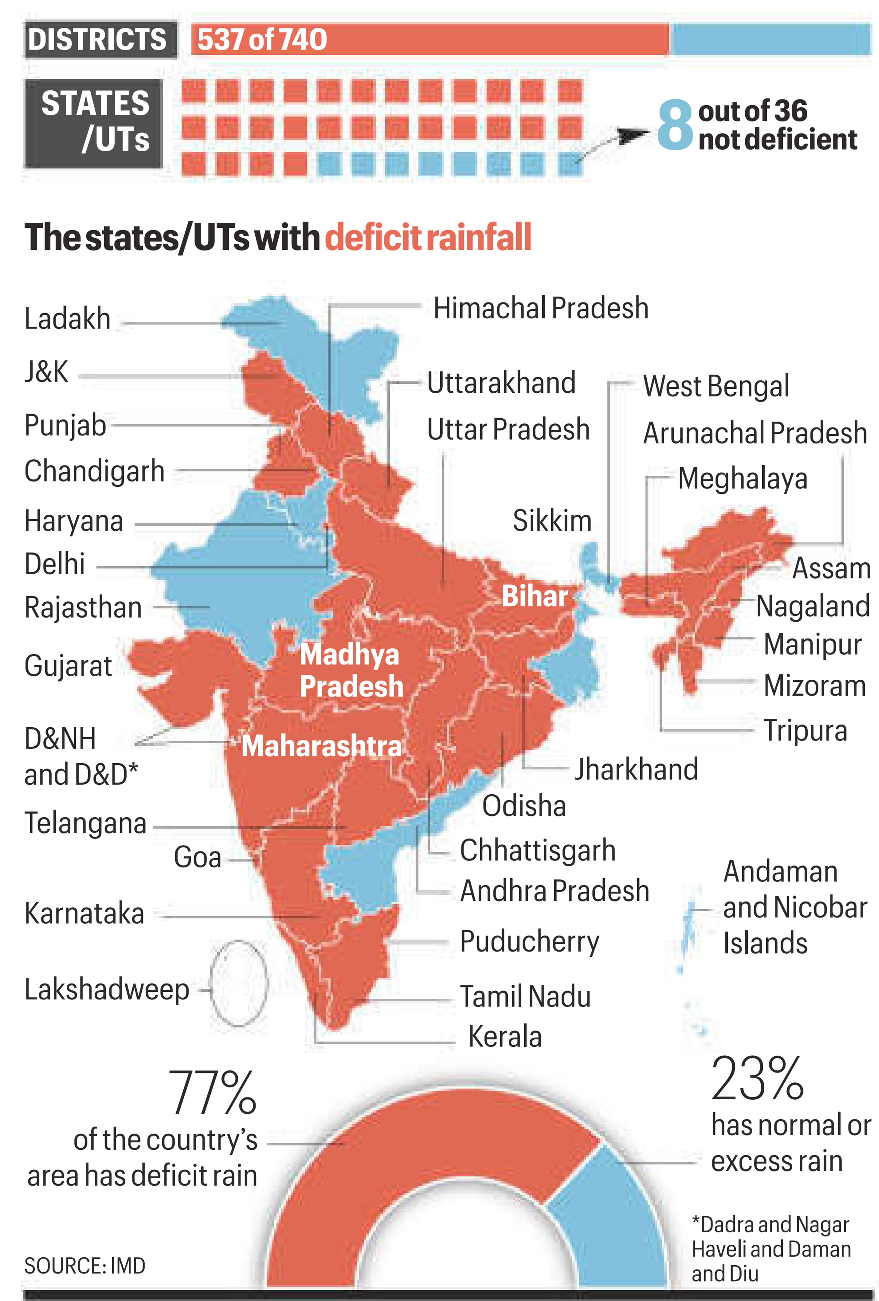
During June, the rain-bearing part of MJO was located far from the Indian region. The part of the MJO system that was around the Indian region was suppressing rainfall. But that is changing now.

"Through most of June, the MJO was in an unfavourable state for us. But it is moving and it is expected that the favourable part of MJO would be over the Indian region around the first week of July. We can expect some good rainfall around that time," Mohapatra said.

As of now, the monsoon getting active again is a big relief, but the effects of El Niño will also become progressively stronger. As of now, almost 75% of the country's land area has more than 20% rainfall deficiency.

• LOOKING TO THE SKIES

Areas with more than 20% rain deficit, as on June 24:



SOURCE: IMD

*Dadra and Nagar Haveli and Daman and Diu

Reducing monsoon dependence

Historically, India's dependence on the monsoon rainfall has been very high. The four-month long rainy season accounts for about 75% of India's annual rainfall.

This water is critical for irrigation, recharging groundwater, replenishing natural water bodies such as rivers and lakes, generating hydropower, and maintaining reserves in reservoirs. A bad monsoon would lower agricultural productivity, affect power generation, threaten food security, reduce farm incomes, suppress rural demand and dampen overall economic growth. The last time when India faced a particularly bad monsoon, trains had to be engaged to transport drinking water to extremely dry regions.

Over the years, however, efforts have been made to reduce India's dependence on the monsoon. Though the land under irrigation has not changed substantially, there have been improvements on other fronts. A bulk of the work under the rural employment scheme has been aimed at developing infrastructure related to rainwater harvesting, water storage and conservation. Official reports show an improvement in groundwater situation in the last few years. The emergence of solar and wind electricity has reduced reliance on hydropower.

"We would still need to plan and intervene effectively, but our ability to absorb and deal with the stress has certainly improved. The impact of a bad monsoon should be lesser than what it used to be, let's say, ten years ago," said K J Ramesh, former Director General of Meteorology at IMD.

With the rainfall this season expected to be the lowest in at least a decade, India's resilience will be tested. Thanks to the abundant rainfall in the last two years, the major reservoirs are running at relatively good storage levels. The rapid increase in renewables capacity is reducing the reliance on hydropower, and preserving storage levels in reservoirs. And there are indications that timely forecasts of a potentially bad monsoon prompted farmers to sow kharif crops amid pre-monsoon showers.

"Under climate change scenarios, it is going to get even more unpredictable. Even when we get quantitatively good rainfall, regional and local variations are huge. Developing greater resilience is the only way forward," said M Rajeevan, former Secretary of the Ministry of Earth Sciences.

Stronger safeguards

Major reservoirs are functioning at relatively good storage levels thanks to good rain in previous years.

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The emergence of solar and wind electricity has reduced the reliance on hydropower, preserving storage levels in reservoirs.

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Official reports show a steady improvement in groundwater situation in the last few years.

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A bulk of the work under the rural jobs scheme have been about developing water storage and conservation infrastructure.

What's driving Europe heatwave, and why is it struggling to cope?

People cool off at a canal in Paris as France reels under a heat wave. AP

YASHEE

AROUND 50 people dead. Schools shut, public transport interrupted, air-conditioned cinema halls and museums asked to shelter the young and the elderly for free, farmers harvesting their crop at night. Western Europe is reeling under a severe heatwave, with countries from Netherlands to UK to Italy to France affected.

In France, 40 people drowned over the past week because they went swimming in unsupervised waters. The country recorded its hottest day (since record-keeping began in 1947) on Tuesday, recording a maximum temperature of 44.3 degrees Celsius. Italy and the UK have also issued extreme heat alerts.

Why is Europe so hot at present?

UK's Met office said: "The developing heatwave is being driven by a strong area of high pressure building over continental Europe. This high pressure is promoting widespread sinking air, which suppresses cloud formation, allows for prolonged sunshine and leads to increasing temperatures through compressional heating."

This phenomenon is also called the Omega Block or the heat dome effect.

An Omega Block, so named because it is shaped like the Greek letter Ω, is an area of high pressure between two zones of lower pressure. The heat dome also refers to an area of high pressure high above a landmass. Because of this high pressure zone, warm air rising from the ground is not able to escape into the atmosphere and is trapped close to the surface, further heating up the surroundings.

Generally, winds known as jet streams blow from the west to east over Europe, moving weather systems. This steady flow has now been disrupted, leading to the omega-shaped air flow.

This specific weather pattern aside, Europe has in general been warming up very fast, thanks to the effects of climate change. The 2025 edition of the European State of the Climate, an annual report published by the Copernicus Climate Change Service and the World Meteorological Organization, says: "Since the 1980s, Europe has been warming twice as fast as the global average, making it the fastest-warming continent. Heatwaves are becoming more frequent and severe, while extreme rainfall is leading to catastrophic floods. Glaciers continue to melt. Climate change is also affecting biodiversity, which is vital for a sustainable future."

Apart from a high rate of industrialisation, urban heat islands (where highly concretised urban areas heat up faster), fracking for oil and gas, and other human activities, Europe is also suffering from something called the albedo effect, which refers to how surfaces reflect sunlight. The only area in the world heating up faster than Europe is the Arctic, where glaciers are melting rapidly. While the bright, white ice would have reflected heat back, the darker Arctic waters are absorbing it, heating up neighbouring Europe further.

But why is Europe suffering so badly from the heat?

Many parts of the world routinely see temperatures crossing 40 degrees Celsius and continue functioning normally. Why have the same temperatures proved so debilitating for Europe?

"Europe's struggle with increasingly intense heatwaves reflects a deeper mismatch between rapidly evolving climate realities and systems designed for a different era. Much of Europe's infrastructure, urban planning, and public health architecture developed under historically temperate climatic conditions, where resilience was built primarily around colder weather patterns. However, climate change is fundamentally altering this baseline. Heatwaves are becoming more frequent, longer, and more severe, exposing structural vulnerabilities that existing adaptation measures have not fully addressed. Urban heat retention, ageing populations, and uneven preparedness capacities across states further amplify these risks," Zerin Osho, director of the India Program of the think tank Institute for Governance & Sustainable Development, told *The Indian Express*.

In much of western Europe, air conditioners are far from the norm. Homes are built to keep heat in, using insulated materials with high thermal mass like thick stone, brick and concrete. In winter, they absorb heat from radiators and slowly release it into the room. They do the same during a heatwave.

Then there is the fact that western Europe gets more hours of sunlight than say a place like India. This gives homes very little time to cool down at night, specially when nights are not much cooler than the day. "While Europe has strengthened heat action plans and early-warning mechanisms over recent years, current events suggest that adaptation continues to lag behind the pace at which climate risks are unfolding," Osho said.

• POLICY

How government's overhaul of FCRA rules puts focus on religious conversion

Deeptiman Tiwary
New Delhi, June 24

THE UNION Home Ministry has tightened the foreign funding framework for NGOs and associations under the Foreign Contribution Regulation Act (FCRA). It has issued two notifications that revise penalties and specify purpose-based, geography-linked registration while explicitly keeping foreign money out of proselytising activities.

The two new notifications

The first notification amends the Foreign Contribution (Regulation) Rules, 2011, requiring every FCRA registration to specify both the purposes for which foreign funds can be used and the states or Union Territories where such activities can be undertaken. Organisations must now select their activities from a government-prescribed Schedule of 105 permissible purposes.

Existing FCRA-registered associations have been given one year to indicate the purposes and geographical areas they wish to retain in their registration. Any subsequent expansion in scope will require fresh approval.

The notification also broadens the definition of "key functionary", restricts organisations with foreign nationals in key management positions from ordinarily receiving registration or prior permission, introduces a minimum utilisation requirement for renewal and cancellation decisions, tightens conditions for release of subsequent instalments of foreign funds, and mandates more extensive disclosures in annual returns, including activity reports, social media account details and information on ultimate donors.

The second notification revises compounding penalties for violations such as excess administrative spending, speculative investments, diversion of foreign funds and use of foreign contributions outside approved purposes or areas. It raises the cost of non-compliance while providing organisations with a structured mechanism to settle violations through compounding instead of facing full criminal prosecution.

Change from 2011 Rules

The changes mark a shift from a relatively broad, programme-based framework to a far more prescriptive regulatory regime. Under the 2011 Rules, organisations broadly identified themselves as undertaking religious, cultural, educational, economic or social activities and described their programmes. The new Rules require them to choose from a government-notified list of approved activities, with registrations tied to those specific purposes.

A second major change is geographical restriction. While organisations earlier disclosed their areas of operation, registration itself was not linked to specific states or Union Territories. The new framework makes geography part of the licence.

The 2011 Rules referred mostly to "Members of the Executive Committee or Governing Council" and "Chief Functionary", without defining "key functionary" which have now been specified as directors of companies, partners in firms, trustees of trusts, the *karta* of a Hindu Undivided Family, office bearers and members of governing bodies, and "any other officer or person… who has control over, or responsibility for the management" of the association.

The Rules also explicitly exclude "proselytisation" from permitted religious activities, define "key functionary" more broadly, place new restrictions on organisations with foreign nationals in leadership positions, introduce a minimum utilisation threshold for foreign funds, and tighten scrutiny of organisations receiving funds through prior permission.

The changes significantly increase government oversight over how and where foreign contributions can be used.

Focus on proselytisation

One of the most notable features of the new Schedule is the repeated use of the phrase "excluding proselytisation" in relation to religious activities. While the 2011 Rules recognised a range of religious activities, they did not expressly refer to proselytisation. The new framework allows faith-based activities such as religious education, theological study, preservation of religious traditions and religious gatherings, but explicitly excludes conversion-oriented work.

The Constitutional backdrop is significant. Article 25 guarantees the right to profess, practise and propagate religion, but the Supreme Court in *Rev. Stainislaus vs State of Madhya Pradesh* (1977) held that the right to propagate religion does not include a right to convert another person.

By expressly excluding proselytisation, the Centre is signalling that foreign contributions can support religious activities but not conversion-oriented work. The move is in line with the long-standing concern within the Sangh Parivar that foreign-funded organisations are involved in religious conversion.

Since coming to power, the Narendra Modi government has faced allegations of targeting Christian organisations under the FCRA regime over suspicions of conversion. Several Christian institutions, including Missionaries of Charity and Church of North India-linked entities, have faced FCRA action. The government has maintained that these actions were based on specific violations of FCRA provisions.

The penalty framework

The second notification, under Section 41(1) of the FCRA, revises compounding penalties for several violations relating to the receipt and utilisation of foreign contributions. Among the key changes:

- Spending foreign contribution beyond the 20% cap on administrative expenses will attract a penalty of Rs 1 lakh or 5% of the excess expenditure, whichever is higher.
- Utilising it in speculative activities will attract a penalty of Rs 1 lakh or 30% of the amount invested, whichever is higher.
- Using it for purposes other than those for which it was received will attract a penalty of Rs 1 lakh or 30% of the amount involved, whichever is higher.
- Accepting or utilising foreign contribution for purposes or in states and Union Territories not covered by registration will invite similar penalties.

The Editorial Page

No going back to the pre-war Strait

OF THE several issues the US and Iran must resolve during their 60-day negotiating window, none is more consequential for international trade and the global economy than the future of the Strait of Hormuz. President Donald Trump has said that it will reopen toll-free, while US Secretary of State Marco Rubio, during his ongoing visit to the Gulf, declared that "no country is allowed to charge tolls or fees on an international waterway". Iran, however, has announced plans to introduce a maritime fee for vessels transiting the Strait. Whether or not this ultimately takes the form of a formal toll, the sobering reality is that the Strait of Hormuz is unlikely to return to its pre-war status. Iran's de facto control, and its ability to close it in response to Israel's actions in Lebanon and other perceived threats, mean that the world will have to adjust to the region's new strategic landscape.

A week after the signing of the Iran-US MoU, traffic through the Strait remains well below pre-war levels. Even if the US and Iran have agreed to agree, a return to business-as-usual could take weeks, if not months. Not only will shipping contracts, insurance policies and other arrangements be redrawn, tanker operators and their crews will now have to sail with the possibility that Iran could close the Strait again, without notice. Its adoption of inexpensive technologies, including shore-based anti-ship missiles, drones, speedboats and mines, has made it easier to disrupt maritime traffic while increasing the costs. There is, however, a longer-term scenario. The Strait, through which one-fifth of the world's energy supplies pass, might become a diminishing asset as Gulf countries invest in alternative pipeline routes and the world accelerates the shift to alternative energy sources.

India cannot afford to wait for the next crisis. With the onset of war, imports of crude oil, LPG and LNG dipped, inventories declined, and the resulting disruptions filtered through to the domestic economy in the form of price hikes. India must diversify not only the sources of its energy imports but also the energy it consumes. Sourcing from a wider range of options, including the US, Canada, Russia and some African countries, can reduce dependence on any single route. In the longer term, the Indian government must accelerate the electrification of transport and industry. It must prioritise the adoption of renewable energy to shield the economy from supply disruptions and price shocks.

On Western Ghats, South must break impasse

THE IMPLEMENTATION of a series of measures to protect the Western Ghats, proposed by a committee headed by the eminent scientist K Kasturirangan, has been hanging fire for more than 12 years. State governments in the region — Maharashtra, Gujarat, Goa, Kerala, Tamil Nadu, Karnataka — pushed back against the proposal to declare 60,000 sq km of the Western Ghats, roughly 37 per cent of the mountain chain, as an Ecologically Sensitive Area (ESA). They took exception to the Kasturirangan Committee's proposal to ban mining, polluting industries, thermal power plants and large constructions in the ESA. The governments of Gujarat, Maharashtra and Goa have now relented. This could pave the way for ESA protection in about 19,000 sq km of the Western Ghats.

The continuous mountain chain, with a break at the Palakkad Gap on the Tamil Nadu-Kerala border, harbours one of the world's eight "hottest hotspots" of biological diversity. Its landform influences the monsoon by acting as a barrier to moisture-bearing winds, resulting in bountiful rainfall along the Western Ghats' coastal side. It's the source of the Godavari, Krishna, Cauvery, Periyar, and several other rivers. The region is much more densely populated compared to several other ecologically sensitive areas — the Himalaya, for instance. This means the argument pitting environmental protection against development has gained traction in the region's six states, even though ecologists have consistently emphasised that ESAs would not harm farm livelihoods. In fact, environmental protection could shield agriculturists against climate vagaries.

The Kerala floods of 2018 and the Wayanad landslide in 2024 underscored the perils of not respecting the frailties of the Western Ghats. That's why Karnataka, Kerala and Tamil Nadu, which have about two-thirds of the ESA area proposed by the Kasturirangan Committee, need to be brought on board urgently. The benefits of ecological services provided by the Western Ghats — water security, carbon sequestration, biodiversity conservation and climate regulation — extend beyond the region. Some ecologists, therefore, believe that a system to remunerate the area's people for such services could help reconcile economic aspirations with ecological realities and break the impasse on the Kasturirangan Committee report in the southern states. Such conversations need to inform policymaking.

India can attract FDI. The harder task is retaining it

MANOJ PANT

M RAHUL

INDIA ATTRACTED gross FDI of $94.53 billion in 2025-26. That appears encouraging for an economy aspiring to become a global manufacturing hub. Yet the headline conceals a less comforting reality. Net FDI — after accounting for outflows — stood at only $7.65 billion, barely 8 per cent of gross inflows. If this were a temporary fluctuation, it would not be especially troubling. But the trend appears structural rather than cyclical.

FDI has long been regarded as the most desirable form of external capital for developing economies. Unlike portfolio flows, which can enter and exit quickly in search of short-term gains, FDI is assumed to reflect long-term confidence. It brings capital, technology, managerial expertise and access to global markets. That is why net FDI matters more than the gross figure. It captures what remains after repatriation, disinvestment and outward investments. On this measure, the picture is sobering.

In 2020-21, India's net FDI inflows were around $44 billion, equivalent to nearly 54 per cent of gross inflows. Over the next four years, they fell steadily, reaching less than $1 billion in 2024-25. Although there was a modest recovery in 2025-26, it was driven largely by higher gross inflows rather than a reversal of the underlying trend. Part of the decline reflects growing outward FDI by Indian firms. In principle, overseas investment can be a sign of corporate confidence. Yet the prominence of jurisdictions such as Singapore, Mauritius, the UAE and the Netherlands among both India's inward and outward FDI flows raises questions about whether all such transactions represent genuine productive investment.

More worrying is the scale of foreign investor exits. Global conditions have undoubtedly played a role. Higher interest rates, weaker growth and geopolitical uncertainty have dampened investment flows across the world. But those explanations are only part of the story. According to World Bank data, India's net FDI inflows declined by around 39 per cent between 2021 and 2024, while Vietnam recorded an increase of roughly 29 per cent. Looking back to 2014, the contrast is even sharper: India's net FDI fell by nearly 21 per cent while Vietnam's rose by about 119 per cent. India's FDI challenge predates current global uncertainties and is indicative of something more.

The "China Plus One" strategy helps explain why. As multinationals sought to diversify supply chains away from China, many expected India to be a major beneficiary. Yet the gains have been more modest than anticipated. The reason lies in India's limited integration into global value chains in areas where China dominates. The sectors that have benefitted most from supply-chain diversification — electronics, electrical machinery, mechanical equipment, automobiles — are deeply embedded in international production networks. China dominates these sectors not simply due to scale but due to the dense ecosystems of suppliers and manufacturers that support them.

India has made progress, particularly in electronics. Incentives have helped attract firms like Apple and Samsung. But attracting final assembly operations is only the beginning. The larger challenge is developing domestic supplier networks and component manufacturing ecosystems that anchor production locally. In contrast, Vietnam is deeply integrated into global manufacturing chains and exports far larger volumes in several key sectors. The difference is not one of market size but of integration.

India's current account has long remained in deficit, making stable capital inflows essential. Pressure on the rupee and periodic intervention by the RBI underline that reality. Gross FDI numbers may appear healthy, but when a growing share simultaneously leaves the country, the cushion becomes much thinner than it seems. This is particularly worrisome as foreign companies are known to prefer retained earnings to borrowings to fund expansion.

India's challenge is no longer simply attracting FDI; it is retaining it. That requires a predictable policy environment, greater investor confidence and deeper integration into global value chains. Investors are still coming to India. The concern is that too many are also finding reasons to leave.

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That requires a predictable policy environment, greater investor confidence and deeper integration into global value chains

Five decades after Emergency, difficult questions, unheeded warnings

COOMI KAPOOR

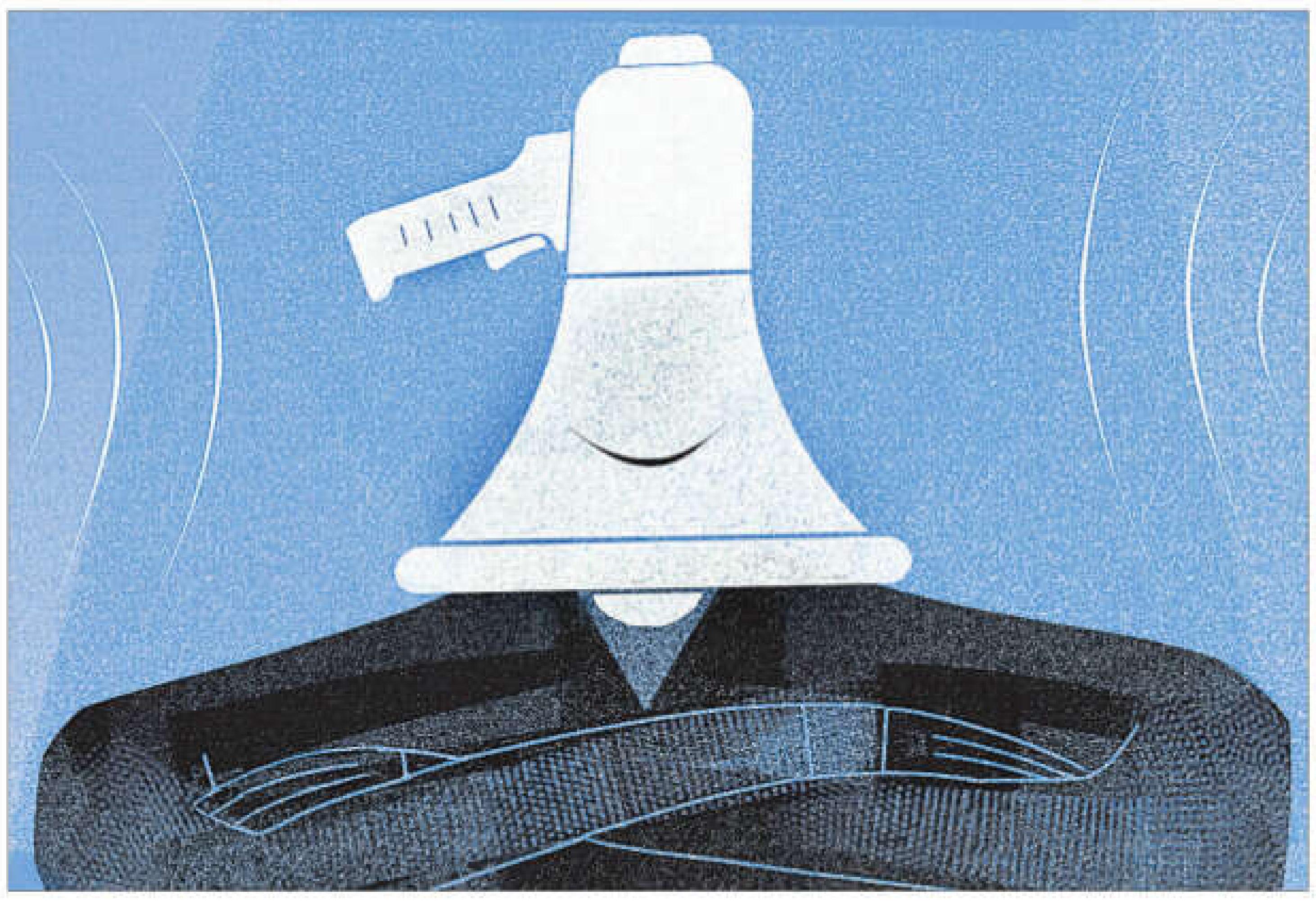


ILLUSTRATION: C R SASIKUMAR

IT'S A question I am often asked and my reply pleases neither side of the political spectrum in these polarised times. Having witnessed first-hand Indira Gandhi's 1975 Emergency, I am frequently quizzed whether the situation in the country is really better 50 years down the line. If I suggest that today's restrictions on the media are not as draconian as the ones between 1975 and 1977, those left aghast by the creeping authoritarianism of Narendra Modi's rule view me as someone who has sold out to the government. But can sledgehammer legislation that upheld prior censorship, putting dissidents behind bars indefinitely without even the farce of a trial, temporarily suspending the sacred constitutional right of *habeas corpus*, etc. be better than whatever is happening in the country today? The government's cheerleaders are equally unhappy with my response. The Emergency may have been worse, but are we insidiously and slowly heading in the very same direction?

India today is not a shining example of the democracy that the framers of our Constitution envisaged. Recently, the Delhi High Court pulled up the Delhi Police's Economic Offences Wing for high-handedly shutting down the portal *NewsClick* six years ago, arresting the editor and invoking anti-terror laws against him. Television channels devote far too much time to propagating government narratives through BJP spokespersons or fellow travellers, even if this is couched as debate. This format generates more sound than light. Journalists would be better employed following their true calling — investigating and reporting the news on the ground. Media correspondents increasingly resort to self-censorship and soft-peddle uncomfortable truths for fear of offending people in power and being cut off from news sources essential for their livelihoods. US President Donald Trump last week unwittingly affirmed the suspicion that Indian journalists nowadays shy away from asking uncomfortable questions, remarking approvingly to Prime Minister Modi at a joint press conference in France, "Your reporters are much nicer than mine."

Today's nomenclature for yesteryear's censor is media adviser, embedded in the party or the government. They are usually professional communication experts who have little connect with the John Stuart Mill school of a free marketplace of ideas. Callow media consultants strive simply to choreograph a narrative as if media management is a marketing ad or a public-relations exercise. Unnecessarily toxic trolling of contrary viewpoints on social media and the harassment of media dissenters and political opponents by utilising government investigative agencies are today's tools of censorship. The justification for violating citizens' rights is the all-encompassing "national security" bogey, which has been cited to amend IT rules so that the government can even access alleged "unlawful" internet chatter.

> In a country as diverse as India, with a culture of outspokenness, debate and argument, truth cannot be suppressed for long, particularly in the days of social media. So why make the mistake that Indira Gandhi made 50 years back?

Today's media managers need to learn a lesson in pragmatism and politeness from successful past media advisers, in party and government, such as V N Gadgil, J P Mathur, Sharada Prasad, B G Verghese, Govindacharya, Ashok Tandon, Harish Khare and Arun Jaitley. They managed better outcomes by befriending journalists through easy access, tolerance and a polite exchange of differing viewpoints, rather than cutting off sources of information when opposing views were expressed. In a country as diverse as India, with a culture of outspokenness, debate and argument, truth cannot be suppressed for long, particularly in the days of social media. So why make the mistake that Indira Gandhi made 50 years back in assuming that opposing viewpoints can be wished away?

Increasingly, those in power believe they are not directly answerable to the people. The government's radio silence over major mess-ups in the NEET and CBSE examinations, affecting lakhs of students, is a telling example. To respond to public complaints is perceived as a weakness by today's regime. The lack of internal debate in the ruling party, too, is perturbing. The BJP parliamentary board rarely meets and when it does, it merely rubber stamps decisions taken elsewhere. The surprise elevation of inexperienced junior party persons as chief ministers, without any prior consultations, is yet another instance of the absence of inner-party democracy. No less concerning is the falling standard of independence and probity of constitutional bodies meant to uphold democratic values. The Election Commission's blatant exclusion of over 90 lakh names from the West Bengal SIR rolls unnecessarily put a question mark over an election where the public mood was clearly against Mamata Banerjee. Recently, the way TMC and Shiv Sena (UBT) MPs have jumped ship overnight reinforces the cynical belief that most Indian politicians have a price. The crux of a true democracy is securing a majority in Parliament through an ethical recourse to the ballot box, not by winning over opposition legislators by whatever means, fair or foul, post elections. In the ongoing ruthless mission to secure a two-thirds majority, one recalls uneasily just how Indira Gandhi utilised her brute two-thirds majority to subvert our Constitution and push through Emergency rule.

As the country marks the half-century anniversary of the Emergency, many ruling party supporters wax eloquent on Indira Gandhi's Emergency excesses as a warning to future generations not to go down that discredited path and derail democracy. Ironically, many of the practices of the Emergency are actually being emulated today. Even the unnecessary sycophancy of rulers in advertisements, bill boards and at public events seems ominously reminiscent of that black period and recalls Congress President D K Barooah's fawning slogan, "Indira is India and India is Indira."

The writer is contributing editor,
The Indian Express

India's rise merits a seat at the UNSC

BIMAL N PATEL AND ANKIT K

INDIA'S PERMANENT membership of the UN Security Council is no longer a question of aspiration. It has become a test of whether the world can adapt to the current geopolitical flux. Since World War II, the world has fundamentally changed, overseen by an institution that largely has not. India, as the world's largest democracy, represents one-sixth of its total population. Recognising its rightful place will ensure the UNSC's credibility in addressing global challenges.

India ranks among the top three in purchasing power parity, with estimates placing its 2026 GDP PPP above $20 trillion. It influences global trade flows, technology supply chains, energy markets, and developmental finance. India's armed forces are among the world's largest and it is among the top defence spenders, with its 2026 defence budget reaching a record $86 billion. India is currently among the few countries with a credible nuclear triad, yet its strategic culture has remained oriented toward deterrence and stability, rather than revising the international order.

Beyond material capabilities, India's normative and functional contribution to international peace and security is noteworthy. Its troop contribution has been one of the largest since 1948 despite suffering one of the highest numbers of fatalities among UN peacekeeping contributors. This reflects India's commitment to multilateralism and its willingness to support UN mandates at all costs.

> Beyond material capabilities, India's normative and functional contribution to international peace and security is noteworthy

On several crucial international agendas, India is one of the major stakeholders, shaping outcomes in energy transitions, green finance, and technological innovation. Cutting across the North-South divide, India demonstrated its leadership in the International Solar Alliance and the recent G20 presidency under the theme "*vasudhaiva kutumbakam*". It is emerging as a hub in technology governance. On maritime security, its role in the Indian Ocean shows strong commitment to freedom of navigation and adherence to the UN Convention on the Law of the Sea and its institutions such as the International Tribunal for the Law of the Sea.

Equitable representation is one of the most important challenges the UNSC faces. Despite Asia accounting for 60 per cent of the world's population, only one Asian state holds a permanent seat. UNSC expansion can also address challenges that directly affect Asian countries but often receive inadequate attention, while preventing the pursuit of any single country's narrow agenda. The G4 initiative, by India, Japan, Brazil and Germany, aims at increasing UNSC membership, with six new permanent seats, including two each for Asia and Africa.

Since permanent membership comes with veto power, restricting it to only five countries has resulted in structural and functional challenges. In the 1960s, the UNSC expanded the number of non-permanent members to 10 without making any changes to the P5. Thus, the influence of the permanent members increased over time. The growing practice of consensus-based decision-making has given rise to de facto vetoes. Outcomes such as presidential and press statements, or the decisions of sanctions committees, require unanimity, allowing any member, permanent or elected, to block or delay action. As the Council expands, achieving consensus becomes more difficult, thereby increasing opportunities for individual states to exercise this informal veto in pursuit of narrow national interests. Equitable reform requires expanding permanent membership with veto power to ensure fair representation.

A permanent seat for India at the Council would strengthen stability in Asia and beyond. It would closely align the institution with changing geopolitical realities and establish the legitimacy of its decisions, offering the UNSC a chance to revamp itself. The India of today, envisioned as vishwamitra, is well positioned to address the evolving challenges of the UNSC.

Patel is V-C of Rashtriya Raksha University, and a member of National Security Advisory Board and UN International Law Commission. Ankit K is assistant professor at Rashtriya Raksha University

TEHRAN SAYS PEACE IN LEBANON IS AS IMPORTANT AS PEACE IN IRAN

Rubio defends deal on Gulf tour, Israel bent on troops in Lebanon

We're winning by a lot, Iran making big concessions: Trump

Reuters
Tel Aviv, Dubai, June 24

THE UNITED States' top diplomat sought backing from skeptical Gulf allies on Wednesday for President Donald Trump's deal with Iran to end their war, while in another challenge to the accord, Israel insisted it would keep troops in southern Lebanon.

The US and Iran signed an initial accord last week to end a war that has upended West Asia and pressured global economies with the closure of the Strait of Hormuz.

Under the deal, the strait is now slowly reopening and on Wednesday benchmark oil prices fell more than $3 to their lowest level since before the war started as supply concerns eased further. But conflicting accounts have emerged over elements of the deal, which has prompted criticism of Trump at home and in the Gulf.

Financial incentives for Iran, control of the Strait of Hormuz and Israel's parallel war in Lebanon have all been disputed, highlighting the fragility of the accord. "We're winning by a lot. Iran is making very big concessions," Trump told reporters on Wednesday.

Speaking in Kuwait City, the second stopover in a tour of three Gulf nations, Secretary of State Marco Rubio said the US was "completely aligned with our partners in the Gulf".

US Secretary of State Marco Rubio with UAE's President Mohamed bin Zayed Al Nahyan at a restaurant in Al Maryah Island, Abu Dhabi, on Wednesday. @SECRUBIO

"We're not going to do anything that undermines the security of our allies, our long-standing allies in the region," he told reporters before heading to Bahrain. Rubio also reiterated the Trump administration's opposition to Iran's demand to charge tolls on shipping through the Strait of Hormuz, something also opposed by Washington's Gulf allies.

Regional Scepticism

The proposed peace deal has been met with skepticism in West Asia, where many states came under attack from Iran during the war and view the accord as too generous to Tehran, including a $300 billion fund and the waiver of some sanctions.

Washington's Gulf allies fear the reconstruction fund could help Iran to rebuild its military, while the accord also does not address Tehran's ballistic missile capacity.

Israel Adamant

Israeli Prime Minister Benjamin Netanyahu and Defence Minister Israel Katz both stressed again on Wednesday that Israel would not pull troops out of southern Lebanon, where they say they have created a security zone to protect residents of northern Israel.

"The IDF is prepared ... and we are not retreating. We announced that in any case we are not withdrawing, and as of this moment — and this is a political achievement — there is no American demand for Israel to withdraw from Lebanon," Katz said in an onstage interview at a conference in Tel Aviv.

He made his comments as Lebanon and Israel discuss a US-backed proposal at talks in Washington for Israeli forces to pull out of some of the territory it invaded in the war and hand it to Lebanese-army control.

"For us, a ceasefire in Lebanon is as important as a ceasefire in Iran, and further, an end to the war in Lebanon is as important as an end to the war in Iran," Iran's parliament speaker Mohammad Baqer Ghalibaf said on Wednesday.

Iran Slams US

Responding to Rubio's comments in Kuwait, Iran's foreign ministry spokesperson Esmaeil Baghaei said on X: "We can't have a peaceful region so long as American militarism and interventionism persist, and their occupying proxy (Israel) continues, with absolute impunity, to inflict endless wars across region and perpetrate genocide..."

IAEA chief: Visits to Iran nuke sites soon; after final deal, says Tehran

Reuters
Tokyo, June 24

THE HEAD of the UN's nuclear agency signalled Wednesday that Iranian nuclear enrichment sites would be visited by his inspectors, a key component in the interim US-Iran to reach an end to the war. But an Iranian diplomat promptly rejected this, saying such a visit can only come after a final deal — a denial that highlighted the precariousness of the ongoing negotiations.

The remarks by International Atomic Energy Agency head Rafael Mariano Grossi was the firmest yet from the United Nations agency, which is viewed as key in determining the status of Iran's nuclear stockpile.

Since Israel launched a 12-day war on Iran in 2025, the IAEA has been blocked by Tehran from visiting enrichment sites where Iran is believed to store enough highly enriched uranium to potentially build as many as 10 nuclear weapons, should it choose to rush for the bomb.

Iran has long maintained that its program is peaceful, though it is the only country in the world to have uranium enriched up to 60% purity without a weapons program.

The US and Iran offered contradictory remarks Tuesday about whether those sites would be inspected.

FOR LOSSES UP TO RS 50,000, 85% OR RS 25,000, WHICHEVER IS LOWER, WILL BE PAID

Digital fraud: RBI revamps rules, widens framework

ENS Economic Bureau
Mumbai, June 24

THE RESERVE Bank of India (RBI) Wednesday unveiled a revised compensation mechanism for victims of digital payment frauds and widened its framework for limiting customer liability.

As per the RBI, a bona fide victim who has lodged a complaint involving gross loss of up to Rs 50,000 on account of fraudulent electronic banking transaction (EBT) will be compensated 85% of the net loss amount or Rs 25,000, whichever is less, once during the lifetime. They must report the fraud on the National Cyber Crime Reporting Portal or National Cyber Crime Helpline (1930) and to the bank within five calendar days from the date of occurrence, it said in the Reserve Bank of India (Commercial Banks-Responsible Business Conduct) Third Amendment Directions, 2026.

The new directions will apply in cases of electronic banking transactions undertaken by customers of a bank on or after January 1, 2027.

For complaint on a fraudulent EBT involving a loss of less than Rs 29,412, where 85% of compensation is paid, 65% will be borne by the RBI, 10% by the bank and the remaining 10% by the beneficiary bank, it said. On a complaint from cross-border fraudulent EBT, 65% will be borne by RBI and the remaining 20% by the customer's bank.

For fraudulent EBTs involving losses between Rs 29,412 and Rs 50,000, where compensation is capped at Rs 25,000, RBI said the burden will be shared among the RBI, the customer's bank and the beneficiary bank. In such cases, the RBI will contribute Rs 19,118, while the customer's bank and the beneficiary bank will each contribute Rs 2,941. If it arises out of cross-border fraudulent EBT, the RBI and customer's bank will contribute Rs 19,118 and Rs 5,882, respectively.

Beneficiary bank refers to the bank where the fraudulently debited amount is first credited. In cases where there is more than one beneficiary bank, the applicable compensation to be borne by each bank shall be in the proportion of the amount credited to their respective account.

FULL REPORT ON WWW.INDIANEXPRESS.COM

• COMPENSATION FOR ONLINE FRAUD

NEW DIRECTIONS will apply in cases of electronic banking transactions undertaken by bank customers on or after Jan 1, 2027

FOR COMPLAINT on a fraudulent EBT involving a loss of less than Rs 29,412, where a compensation of 85% is paid, 65% will be borne by the RBI, 10% by the customer's bank

IN CASE of a complaint arising from cross-border fraudulent EBT, 65% will be borne by the RBI and the remaining 20% by the customer's bank

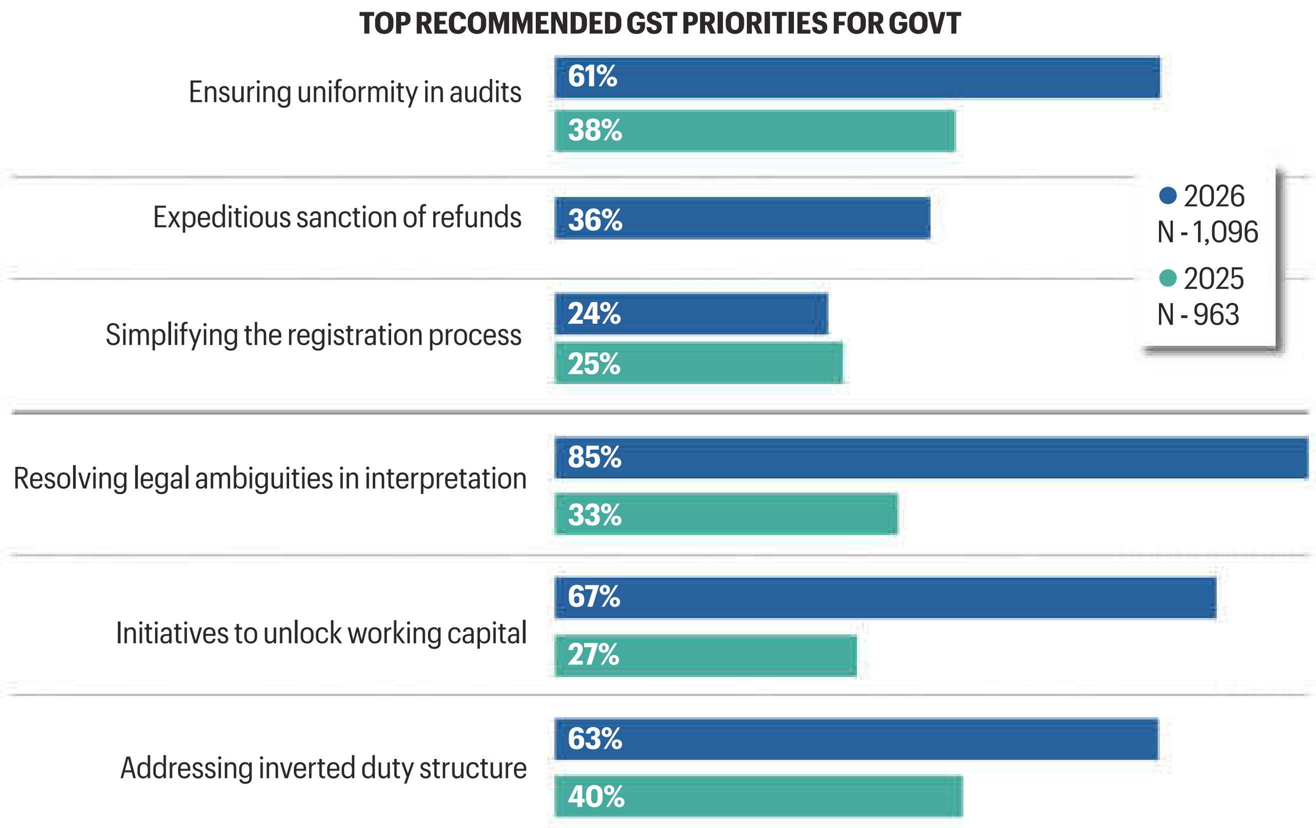
Rules to compute banks' forex risk exposure revised

Mumbai: The central bank Wednesday issued final rules governing how banks calculate their net foreign exchange exposure and the capital needed to be set aside against potential FX risk. The RBI had proposed changes to the rules earlier this year. The changes were intended to better align regulations with global norms and ensure consistent implementation across regulated entities. The RBI has clarified that banks have the option to exclude certain structural foreign currency investments from the calculation of net open position on both a standalone and consolidated basis. **REUTERS**

• NINE YEARS OF GST: MORE REFORMS SOUGHT

The goods and services tax (GST) regime will complete nine years on June 30, with its rollout on July 1, 2017 completely overhauling India's indirect tax system. However, as last September's GST 2.0 reforms showed, the system continues to evolve.

TOP RECOMMENDED GST PRIORITIES FOR GOVT



- A Deloitte India survey, titled GST@9: The next-gen GST–Reform, rationalise and simplify', found that 85% of businesses made tax interpretational clarity as a structural recommendation, while operational priorities include uniformity in audits (61%) and faster refunds (36%).
- As per Mahesh Jaising, Partner and Leader, Indirect Tax at Deloitte India, working capital concerns also need to be addressed by expanding the scope of the inverted duty structure refund formula to include input services and capital goods.
- "This is particularly in the backdrop of pro-consumer rate reductions in sectors such as pharma, food processing, EVs and certain consumer goods, where substantial credit accumulation is being experienced," Jaising said.

SOURCE: GST@9: THE NEXT-GEN GST–REFORM, RATIONALISE AND SIMPLIFY SURVEY BY DELOITTE INDIA

WEAK MONSOON FORECAST CLOUDS SUPPLY OUTLOOK

Why Grid India is turning to more gas-based power

Pratyush Deep
New Delhi, June 24

THE GRID Controller of India (Grid India) has advised gas-based power stations to plan fuel procurement arrangements, anticipating the need for additional gas-fired generation for 7-8 days in June. The move comes amid weather forecasts indicating below-normal rainfall across the country during the June–September monsoon season. The projected requirement is in addition to the 2.6 gigawatts (GW) of gas-based generation capacity already available from isolated field stations.

The assessment is based on projected demand, planned and forced outages of generating units, hydro, renewable generation profiles and present weather information available at Indian Meteorological Department (IMD), according to the Grid India's advisory issued on June 10.

Three key factors

Grid India cited three major considerations for this resource adequacy assessment. These include historical data for the mentioned months, planned upcoming capacity, proposed planned outages and prevailing forced outages, and uncertainty and variability of renewable energy generations.

"The above assessment will be reviewed in late Jun-26 and an updated/modified outlook will be provided, if required," the advisory added.

While gas accounts for only a small share of India's overall generation mix, it plays a crucial rebalancing role during evening peak hours, especially during pre-monsoon summer months, when solar output drops. Typically, around 10 GW of gas-fired capacity is relied upon during peak summer.

This year, however, the conflict in West Asia has cast a shadow over fuel availability for gas-based power plants. Amid concerns over supply disruptions, the government has moved to prioritise gas allocation to certain sectors during periods of shortage. According to officials, only about 5 GW of gas-based generation capacity is currently available. The situation has been compounded by forecasts of below-normal rainfall during the monsoon season, prompting hydroelectric power stations to conserve water in their reservoirs, officials familiar with the matter told *The Indian Express*.

"Reservoirs serve a dual purpose — irrigation for agriculture and electricity generation. Until the monsoon gains momentum in July, the priority is to preserve water levels. That is why the requirement for additional gas-based generation has become more important," an official aware of the matter said.

Hydro role in meeting peak demand

This year's situation stands in contrast to last year, when hydroelectric power played a crucial role in meeting evening peak demand and providing vital grid-balancing support. However, forecasts of below-normal monsoon rainfall have altered the equation. With hydro generators prioritising reservoir conservation, their ability to provide flexible peak-hour generation has become more constrained. Thus, gas-based power plants are expected to shoulder a larger share of the balancing requirement during evening peak hours. The growing reliance on gas-fired generation is also reflected in a rise in spot-market purchases of natural gas by power sector entities.

As per the data provided by the Indian Gas Exchange (IGX) — the country's leading gas-trading bourse — the power sector companies purchased 13,92,500 million Metric Million British Thermal Units (MMBtu) of natural gas between June 1 and June 23. The same stood at nil during June last year often attributed to lower demand due to rain.

Notably, gas-based power plants in India are increasingly relying on the spot market to meet their requirement this summer as the conflict in West Asia disrupts supplies under long-term import contracts and clouds fuel availability.

Between April 1 and May 31, power-sector entities purchased 45,07,850 MMBtu of natural gas from the spot market, which is 340.4% higher than the corresponding period in 2025.

The rise in purchases came despite a sharp increase in spot-market gas prices amid supply disruptions due to the conflict in West Asia. The average spot gas price stood at Rs 1,606 per MMBtu in April, up 43.5% from Rs 1,119 per MMBtu a year earlier. Prices rose further to Rs 1,857 per MMBtu in May, a jump of 77.5% over Rs 1,046 per MMBtu in May last year. In June, the average spot gas price stood at Rs 1,846 per MMBtu.

FULL REPORT ON WWW.INDIANEXPRESS.COM

• REBALANCING ROLE

- While gas accounts for only a small share of India's overall generation mix, it plays a crucial rebalancing role during evening peak hours
- Typically, around 10 GW of gas-fired capacity is relied upon during peak summer
- This year, however, the conflict in West Asia has cast a shadow over fuel availability for gas-based power plants
- Amid concerns over supply disruptions, the government has moved to prioritise gas allocation to certain sectors during periods of shortage